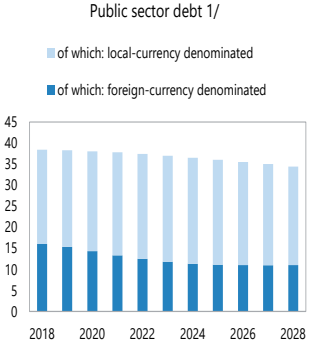
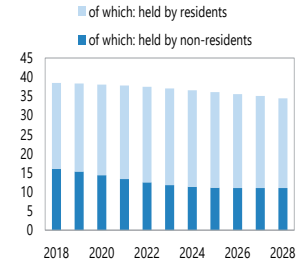
Table 2. Myanmar: Public Sector Debt Sustainability Framework, Baseline Scenario, 2015–38

(In percent of GDP, unless otherwise indicated)

	Actual			Projections							Average 6/	
	2015	2016	2017	2018	2019	2020	2021	2022	2023	2028	2038	Historical	Projections
Public sector debt 1/	**36.3**	**36.5**	**34.7**	**38.5**	**38.3**	**38.0**	**37.8**	**37.4**	**37.0**	**34.5**	**29.7**	**32.9**	**36.8**
of which: external debt	**15.9**	**15.6**	**13.8**	**16.0**	**15.3**	**14.4**	**13.4**	**12.5**	**11.8**	**11.0**	**14.6**	**13.1**	**12.6**
Change in public sector debt	3.9	0.2	-1.8	3.8	-0.1	-0.3	-0.2	-0.4	-0.4	-0.6	-0.5		
Identified debt-creating flows	**3.3**	**1.0**	**-1.8**	**2.1**	**-0.1**	**-0.3**	**-0.2**	**-0.4**	**-0.4**	**-0.6**	**-0.5**	**-1.3**	**-0.2**
Primary deficit	**3.1**	**1.2**	**1.3**	**0.8**	**1.9**	**2.2**	**2.3**	**2.1**	**1.9**	**1.5**	**1.1**	**1.5**	**1.8**
Revenue and grants	19.5	18.8	17.1	18.1	17.3	17.4	17.4	17.7	18.1	19.6	21.8	**15.9**	**18.3**
of which: grants	0.4	0.4	0.2	0.3	0.4	0.4	0.4	0.4	0.4	0.5	0.3		
Primary (noninterest) expenditure	22.7	20.0	18.3	18.9	19.2	19.6	19.8	19.9	20.1	21.1	22.9	**17.4**	**20.1**
Automatic debt dynamics	**0.2**	**0.0**	**-3.0**	**1.4**	**-2.0**	**-2.4**	**-2.5**	**-2.5**	**-2.3**	**-2.0**	**-1.6**		
Contribution from interest rate/growth differential	-1.8	-1.5	-2.0	-1.0	-2.2	-2.4	-2.4	-2.4	-2.2	-2.0	-1.6		
of which: contribution from average real interest rate	0.3	0.6	0.3	1.2	0.2	0.0	0.0	0.1	0.2	0.3	0.3		
of which: contribution from real GDP growth	-2.1	-2.0	-2.3	-2.2	-2.3	-2.4	-2.4	-2.4	-2.4	-2.3	-1.8		
Contribution from real exchange rate depreciation	2.0	1.5	-1.0	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.0**	**-0.2**	**-0.1**	**-0.1**	**-0.1**	**-0.1**	**-0.1**	**0.0**	**0.0**	**0.0**	**0.0**	**-0.4**	**0.0**
Privatization receipts (negative)	0.0	-0.2	-0.1	-0.1	-0.1	-0.1	-0.1	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**0.6**	**-0.8**	**0.0**	**4.0**	**0.1**	**0.0**	**-0.1**	**-0.1**	**-0.1**	**0.0**	**0.0**	**1.7**	**0.3**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**		**33.0**	**36.3**	**36.0**	**35.6**	**35.3**	**34.9**	**34.5**	**31.7**	**26.1**	
PV of public debt-to-revenue and grants ratio	**...**	**...**		**193.4**	**200.4**	**208.2**	**204.9**	**202.7**	**197.0**	**190.4**	**161.3**	**119.9**	
Debt service-to-revenue and grants ratio 3/	**26.3**	**25.6**	**29.8**	**29.9**	**43.5**	**54.8**	**64.0**	**68.6**	**71.9**	**46.2**	**25.9**		
Gross financing need 4/	8.4	5.8	6.3	6.2	9.4	11.6	13.4	14.3	14.9	10.5	6.7		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	7.0	5.9	6.8	6.7	6.4	6.6	6.7	6.9	6.9	7.0	6.5	**6.3**	**6.8**
Average nominal interest rate on external debt (in percent)	2.6	2.3	3.7	2.7	2.8	2.8	2.7	2.7	2.6	2.5	2.4	**4.9**	**2.6**
Average real interest rate on domestic debt (in percent)	1.1	2.0	-0.1	5.6	0.2	-0.6	-0.4	-0.1	0.5	1.2	1.5	**-3.7**	**0.9**
Real exchange rate depreciation (in percent, + indicates depreciation)	15.3	9.8	-6.6	...	...	...	...	...	...	...	...	**-0.9**	**...**
Inflation rate (GDP deflator, in percent)	4.1	3.6	6.3	0.3	5.8	6.9	7.0	6.8	6.5	6.4	6.1	**6.3**	**6.0**
Growth of real primary spending (deflated by GDP deflator, in percent)	3.2	-6.7	-2.1	5.3	8.2	8.6	7.8	7.4	8.0	8.0	7.2	**11.3**	**7.8**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	-0.8	1.0	3.1	-2.9	2.1	2.5	2.6	2.5	2.4	2.1	1.6	**1.1**	**1.8**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	Residency-based
Is there a material difference between the two criteria?	No





Sources: Country authorities; and IMF staff estimates and projections.

1/ Coverage of debt: The central, state, and local governments plus social security, government-guaranteed debt. Definition of external debt is Residency-based.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

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Table 3. Myanmar: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2018–28

(In percent)

	Projections 1/										
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
PV of debt-to GDP ratio											
Baseline	12	13	12	11	10	9	9	8	8	8	8
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	12	9	6	3	0	-3	-5	-6	-7	-8	-9
B. Bound Tests											
B1. Real GDP growth	12	13	12	11	10	10	9	9	9	9	9
B2. Primary balance	12	13	12	11	11	10	10	9	9	9	9
B3. Exports	12	15	17	15	14	13	13	12	12	11	11
B4. Other flows 3/	12	17	20	18	17	16	15	15	14	13	13
B5. Depreciation	12	16	11	10	9	9	8	8	8	8	8
B6. Combination of B1-B5	12	17	18	17	16	15	14	13	13	12	12
C. Tailored Tests											
C1. Combined contingent liabilities	12	13	12	12	11	10	10	10	9	9	9
C2. Natural disaster	12	14	13	13	12	12	11	11	11	11	11
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	40	40	40	40	40	40	40	40	40	40	40
PV of debt-to-exports ratio											
Baseline	55	51	49	47	46	44	44	36	36	36	36
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	55	37	25	12	0	-12	-23	-26	-31	-35	-39
B. Bound Tests											
B1. Real GDP growth	55	51	49	47	46	44	44	36	36	36	36
B2. Primary balance	55	52	52	50	49	49	49	41	40	40	40
B3. Exports	55	65	79	76	75	74	74	60	58	56	55
B4. Other flows 3/	55	68	83	80	80	78	78	63	61	58	56
B5. Depreciation	55	51	37	35	34	32	32	26	27	28	28
B6. Combination of B1-B5	55	72	74	74	74	72	72	58	56	54	53
C. Tailored Tests											
C1. Combined contingent liabilities	55	53	52	50	50	50	50	41	41	41	41
C2. Natural disaster	55	57	58	56	57	57	59	49	50	50	51
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	180	180	180	180	180	180	180	180	180	180	180
Debt service-to-exports ratio											
Baseline	5	4	5	5	5	5	5	4	4	4	3
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	5	4	4	3	3	2	1	0	0	-1	-2
B. Bound Tests											
B1. Real GDP growth	5	4	5	5	5	5	5	4	4	4	3
B2. Primary balance	5	4	5	5	5	5	5	4	4	4	4
B3. Exports	5	5	6	7	7	7	7	6	6	6	5
B4. Other flows 3/	5	4	6	7	7	6	6	6	6	6	6
B5. Depreciation	5	4	5	5	4	4	4	3	3	3	2
B6. Combination of B1-B5	5	5	6	7	6	6	6	6	6	6	5
C. Tailored Tests											
C1. Combined contingent liabilities	5	4	5	5	5	5	5	4	4	4	4
C2. Natural disaster	5	5	5	6	6	5	6	4	4	4	4
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	15	15	15	15	15	15	15	15	15	15	15
Debt service-to-revenue ratio											
Baseline	6	7	7	7	6	6	5	5	5	4	4
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	6	6	5	5	3	2	2	1	0	-1	-2
B. Bound Tests											
B1. Real GDP growth	6	7	7	7	7	6	5	5	5	5	4
B2. Primary balance	6	7	7	7	6	6	5	5	5	5	4
B3. Exports	6	7	7	8	7	7	6	6	6	6	6
B4. Other flows 3/	6	7	8	9	8	7	7	7	8	7	7
B5. Depreciation	6	9	9	8	7	6	6	5	4	4	4
B6. Combination of B1-B5	6	7	8	9	8	7	7	7	7	7	6
C. Tailored Tests											
C1. Combined contingent liabilities	6	7	7	7	6	6	5	5	5	5	4
C2. Natural disaster	6	7	7	7	7	6	6	5	5	5	5
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	18	18	18	18	18	18	18	18	18	18	18

Sources: Country authorities; and IMF staff estimates and projections.

1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

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Table 4. Myanmar: Sensitivity Analysis for Key Indicators of Public Debt 2018–28

(In percent)

	Projections 1/										
	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028
PV of Debt-to-GDP Ratio											
Baseline	36	36	36	35	35	35	34	33	33	32	32
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	36	35	35	34	33	33	32	32	31	31	30
B. Bound Tests											
B1. Real GDP growth	36	37	39	39	40	40	40	40	41	41	41
B2. Primary balance	36	38	40	39	39	38	38	37	36	36	35
B3. Exports	36	38	41	40	40	39	38	37	36	36	35
B4. Other flows 3/	36	40	44	43	42	42	41	40	39	38	36
B5. Depreciation	36	36	34	33	31	29	27	25	23	21	19
B6. Combination of B1-B5	36	36	36	34	34	33	33	32	32	31	30
C. Tailored Tests											
C1. Combined contingent liabilities	36	41	40	40	39	39	38	37	37	36	35
C2. Natural disaster	36	47	46	46	45	45	44	43	42	42	41
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Public debt benchmark	55	55	55	55	55	55	55	55	55	55	55
PV of Debt-to-Revenue Ratio											
Baseline	200	208	205	203	197	190	184	179	173	168	161
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	200	205	200	195	187	180	174	168	163	159	154
B. Bound Tests											
B1. Real GDP growth	200	216	223	225	224	221	218	216	213	211	207
B2. Primary balance	200	221	230	226	219	211	204	197	190	184	177
B3. Exports	200	221	234	230	223	214	207	199	191	184	176
B4. Other flows 3/	200	234	252	248	239	230	221	213	203	195	185
B5. Depreciation	200	210	198	187	173	159	145	133	121	110	98
B6. Combination of B1-B5	200	208	207	196	190	184	178	172	167	162	155
C. Tailored Tests											
C1. Combined contingent liabilities	200	237	232	229	222	214	206	199	192	186	179
C2. Natural disaster	200	270	266	262	255	246	238	230	223	217	209
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	30	43	55	64	69	72	73	54	52	49	46
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2018-2028 2/	30	43	54	63	66	69	70	50	48	45	42
B. Bound Tests											
B1. Real GDP growth	30	45	59	70	77	82	85	66	65	64	61
B2. Primary balance	30	43	60	73	77	81	81	61	59	55	52
B3. Exports	30	43	55	65	70	73	74	56	54	51	48
B4. Other flows 3/	30	43	56	66	71	74	75	57	55	52	49
B5. Depreciation	30	41	52	59	63	66	67	49	47	44	40
B6. Combination of B1-B5	30	42	54	63	67	70	72	53	51	48	45
C. Tailored Tests											
C1. Combined contingent liabilities	30	43	66	74	78	82	82	62	59	56	52
C2. Natural disaster	30	44	79	85	91	95	93	73	70	66	62
C3. Commodity price	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and IMF staff estimates and projections.

1/ A bold value indicates a breach of the benchmark.
2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.
3/ Includes official and private transfers and FDI.

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